2. There may be granted to the Assessor of Public Undertakings (Scotland) (hereinafter referred to as the assessor) and the clerks or other officers whom he may be allowed to employ such superannuation allowances and gratuities, and to their legal personal representatives or dependants such gratuities, as the Secretary of State may determine: Superannuation allowances and gratuities to assessor and clerks, &c.

Provided that the Secretary of State shall so far as may be exercise his powers under this section as if the Acts and rules for the time being governing the grant of superannuation allowances and gratuities in His Majesty's Civil Service applied to the assessor and the clerks and other officers aforesaid.

3. All superannuation allowances and gratuities to be granted under the provisions of this Act and any superannuation allowance granted under the Railway Assessors (Scotland) Superannuation Act, 1897, shall be levied and collected along with and in the same manner as the remuneration or salary of the assessor and his clerks and other officers, as prescribed in section twenty-nine of the Lands Valuation (Scotland) Act, 1854. Mode of levying and collecting superannuation allowances and gratuities. 60 & 61 Vict. c. 12.

4. The Railway Assessors (Scotland) Superannuation Act, 1897, is hereby repealed. Repeal.

5. This Act may be cited as the Assessor of Public Undertakings (Scotland) Act, 1934. Short title.

CHAPTER 23.

An Act to provide that the owners of coal mines in Great Britain shall insure against, or otherwise ensure the discharge of, their liabilities under the Workmen's Compensation Act, 1925; to enable certain mutual indemnity associations to make deposits with the Accountant General of the Supreme Court; and for purposes incidental to, and connected with, the matters aforesaid.

[22nd June 1934.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present

Parliament assembled, and by the authority of the same, as follows :—

Insurance of owners of coal mines against liability to their workmen.

1.—(1) Subject to the provisions of this section, the owner of a coal mine shall not, at any time, employ any workmen for the purposes of the undertaking carried on at that mine unless there is in force either—

(*a*) a contract of insurance subscribed by an authorised insurer, being a contract which (subject to the exception mentioned in the next following subsection) insures the owner against all liability under the principal Act in respect of the employment of workmen by him or any other person for those purposes at that time; or

(*b*) an instrument (hereafter in this Act referred to as a "compensation trust"), conforming with the requirements of the Schedule to this Act, for securing, by means of a special trust fund, the discharge of all the owner's liability under the principal Act in respect of the employment of workmen as mentioned in paragraph (*a*) of this subsection.

(2) The exception allowed by paragraph (*a*) of the foregoing subsection is as follows, that is to say, that the indemnity afforded by the contract of insurance need not, in the case of any injury by accident or disease resulting in incapacity for work, extend to any such payment of compensation in respect of the incapacity resulting from that injury as becomes payable at a time when the incapacity has continued for not more than twenty-six weeks (whether consecutive or not), other than a payment which is due at the time of, or becomes payable after, the happening of any of the following events, that is to say,—

(*a*) the owner becoming bankrupt or making a composition or arrangement with his creditors; or

(*b*) if the owner is a company, the company commencing to be wound up, or a receiver or manager of the company's business or undertaking being duly appointed, or possession being taken, by or on behalf of the holders of debentures secured by a floating charge, of any property of the company comprised in, or subject to, the charge.

(3) If the owner of a coal mine employs any workmen in contravention of this section, he shall, for each week in the course of which he so employs workmen at any time, be liable on summary conviction to imprisonment for a term not exceeding three months or to a fine not exceeding one hundred pounds, or to both such imprisonment and such fine; and where an offence under this section committed by a corporation has been committed with the consent or connivance of, or facilitated by any neglect on the part of, any director, manager, secretary or other officer of the corporation, he, as well as the corporation, shall be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

In this subsection the expression "week" means a period of seven consecutive days beginning on Sunday.

(4) In this section the expression "authorised insurer" means—

(*a*) an insurance company or an underwriter in whose case the requirements of the Assurance Companies Act, 1909, with respect to deposits by assurance companies and deposits and guarantees by underwriters are complied with; or

9 Edw. 7. c. 49.

(*b*) a mutual indemnity association;

so, however, that a mutual indemnity association formed after the end of the year nineteen hundred and thirty-three shall be deemed, for the purposes of this section, not to be an authorised insurer unless the association has deposited the sum of twenty thousand pounds with the Accountant General of the Supreme Court in pursuance of the following provisions of this Act.

Information as to insurance to be given to workmen.

2.—(1) In relation to the employment of workmen at any time for the purposes of the undertaking carried on at a coal mine, a contract of insurance or compensation trust shall be deemed for the purpose of the foregoing section not to be in force, unless at that time there is exhibited at the colliery office, in such a way as to be readily accessible to, and easily read by, the workmen,—

(*a*) in the case of a contract of insurance, a certificate in the prescribed form, signed by the insurer, being a certificate which—

(i) states that, to the extent required by the foregoing section, the owner of the coal mine is insured under the contract against his liability under the principal Act in respect of the employment of workmen, within a specified period current at that time, for the purposes of the undertaking carried on at the mine; and

(ii) where the insurer is a mutual indemnity association, specifies the date on which the association was formed, and, if it was formed after the end of the year nineteen hundred and thirty-three, states that the association has deposited the sum of twenty thousand pounds with the Accountant General of the Supreme Court in pursuance of this Act; or

(*b*) in the case of a compensation trust—

(i) a notice in the prescribed form, signed by the owner of the coal mine, stating that the trust conforms with the requirements of the Schedule to this Act and provides for securing, by means of a special trust fund, the discharge of all the owner's liability under the principal Act in respect of the employment of workmen, within a specified period current at that time, for the purposes of the undertaking carried on at the mine; and

(ii) a notice in the prescribed form, signed by the owner of the coal mine, stating the names and addresses of the trustees for the time being acting under the trust, and of any agent authorised by them to receive notices in connection with the trust; and

(iii) where the workmen are employed at any time after the end of the first three months of any accounting year as defined in the Schedule to this Act, a declaration in the prescribed form signed by the auditor of the accounts of the trust stating that he has examined the actuary's certificate required by the compensation trust in accordance with the Schedule to this Act to be given with regard to the owner's liability for that accounting year, and either that no contribution to the trust fund is payable under the trust by virtue of the said certificate or that the contribution so payable in accordance with the requirements of the Schedule to this Act has been duly paid :

Provided that, where by reason of the death of a person who, at the time when the compensation trust came into force, was the owner of the coal mine to which the trust relates, his personal representative is the owner for the time being of that mine, any notice signed by the deceased owner for the purpose of paragraph (*b*) of this subsection shall have effect for that purpose as if it were also signed by the personal representative.

(2) If any person signs, or causes or suffers to be exhibited, for the purposes of this section, a certificate, notice or declaration which, to his knowledge, contains a statement false in any material particular, he shall be guilty of an offence and shall be liable on summary conviction to imprisonment for a term not exceeding three months or to a fine not exceeding one hundred pounds, or to both such imprisonment and such fine.

(3) In this section—

(*a*) the expression " colliery office " means, in relation to any coal mine, the premises at which the workmen employed at that mine usually receive payment of their wages; and

(*b*) the expression " prescribed " means prescribed by the Secretary of State.

Effect of certain contracts of insurance.

3.—(1) This section applies to every contract of insurance (whether made before or after the commencement of this Act) purporting to insure the owner of a coal mine against any liability under the principal Act in respect of the employment of workmen for the purposes of the undertaking carried on at that mine, and in the following provisions of this section the expression " claim to which this section applies " means, in relation to any such contract of insurance as aforesaid, any such claim under the contract as arises out of a liability under the principal Act in respect of the employment of a workman after the commencement of this Act for the purposes of the undertaking carried on at a coal mine.

(2) Any condition in a contract of insurance to which this section applies, being a condition which provides that, in any specified event, the insurer shall not become, or shall cease to be, liable to pay any claim under the contract or any part of such a claim, shall be of no effect in relation to any claim to which this section applies.

(3) No agreement between the parties to a contract of insurance to which this section applies, being an agreement made after any liability to pay a claim to which this section applies has been incurred by the insurer, shall be effective so as to extinguish or diminish that liability.

(4) For the purpose of determining, as regards any liability under the principal Act in respect of employment after the commencement of this Act for the purposes of the undertaking carried on at a coal mine, whether the workman has any, and if so what, rights by virtue of subsection (1) of section seven of the principal Act in relation to a contract of insurance to which this section applies, but for no other purpose,—

(*a*) the insurer shall be deemed not to be, and never to have been, entitled to avoid the contract on the ground of any misrepresentation or non-disclosure of material facts on the part of the insured, or on the ground that the answer to any question required to be answered by the insured in making any proposal for the contract was false or incomplete; and

(*b*) any admission or agreement whereby the said liability under the principal Act was established against the insured shall be treated as binding on the insurer, notwithstanding that it was made or entered into without his authority.

(5) Where an insurer becomes under any liability to pay compensation which he would not have been under but for the provisions of the last foregoing subsection, the capitalised value of that liability shall be deemed to be a debt due to the insurer from the insured, and the capitalised value of the liability shall—

(*a*) if it is a liability to pay the whole or any part of a lump sum, be taken to be the amount of that lump sum or of that part thereof, as the case may be; or (*b*) if it is a liability to pay a weekly payment, be taken to be the amount of the lump sum for which the liability could, if redeemable, be redeemed under section thirteen of the principal Act:

Provided that the appropriate court may, upon application made by or on behalf of the insured or his estate, direct that the amount of any such debt as aforesaid due in respect of a payment which the insurer has become liable to make by virtue of any particular contract of insurance, shall be reduced by such amount as the court thinks proper, having regard to the amount paid or payable by the insured to the insurer by way of premium under the contract.

In this subsection the expression "the appropriate court" means any court having bankruptcy jurisdiction, being a court within the area of whose jurisdiction the insured resided at the time when the workman acquired rights against the insurer by virtue of subsection (1) of section seven of the principal Act, or, if the insured is a company, any court having jurisdiction to wind up the company.

(6) There shall be included among the debts which—

(*a*) under section thirty-three of the Bankruptcy Act, 1914, and section one hundred and eighteen of the Bankruptcy (Scotland) Act, 1913, are, in the distribution of the property or assets of a bankrupt, to be paid in priority to all other debts; and

4 & 5 Geo. 5. c. 59.

3 & 4 Geo. 5. c. 20.

(*b*) under section two hundred and sixty-four of the Companies Act, 1929, are, in the winding up of a company, to be paid in priority to all other debts; and

19 & 20 Geo. 5. c. 23.

(*c*) under section seventy-eight of the Companies Act, 1929, are, as respects a company registered in England in whose case either a receiver has been duly appointed on behalf of the holders of debentures of the company or possession of any property of the company has been duly taken by or on behalf of the holders of such debentures, to be paid in priority to any claim for principal or interest in respect of the debentures;

the amount of any debt which, by virtue of the last foregoing subsection, is due from the bankrupt or the company, as the case may be, to an insurer.

Deposits by mutual indemnity associations.

4.—(1) Any mutual indemnity association which carries on, or intends to carry on, business wholly or partly for the purpose of the mutual insurance of its members against liability under the principal Act to pay compensation in respect of the employment of workmen for the purposes of undertakings carried on at coal mines, may deposit the sum of twenty thousand pounds with the Accountant General of the Supreme Court for and on account of the Supreme Court, and it shall be the duty of the Accountant General to receive the deposit accordingly.

(2) Where a mutual indemnity association has made a deposit in pursuance of subsection (1) of this section, the association shall not be entitled to withdraw, or transfer to any other person, the whole or any part of the deposit, unless it proves that it has ceased to carry on, or, as the case may be, has abandoned the intention to carry on, business for the purpose of such insurance as is mentioned in the said subsection.

(3) The Secretary of State may make such rules as appear to him, after consultation with the Lord Chancellor, to be necessary with respect to the following matters, that is to say, the payment of deposits for the purpose of this section and the investment thereof and dealing therewith, the deposit of stock or other securities in lieu of money, the payment of the interest or dividends from time to time accruing due on any securities in which deposits are for the time being invested, and the withdrawal and transfer of deposits.

Incidental provisions as to compensation trusts

5.—(1) The trustees under any compensation trust shall be deemed to be trustees not only for the person creating the trust and any person representing his estate, but also for the workmen to whom payments are to be made out of the trust fund, and the due administration of the trust shall be enforceable accordingly; and the provisions contained in a compensation trust in accordance with the Schedule to this Act shall be valid notwithstanding any rule against perpetuities.

(2) So much of section sixty-seven of the County Courts Act, 1888, as limits the jurisdiction of a county court with respect to the execution of trusts, shall not apply in relation to any compensation trust. 51 & 52 Vict. c. 43.

6.—(1) In this Act the following expressions have the meanings hereby respectively assigned to them, that is to say:— Interpretation.

"coal mine" means any mine or open working where the principal object of the mining or quarrying operations is the getting of coal (including bituminous coal, cannel coal, anthracite, lignite and brown coal);

"liability under the principal Act" includes liability under a scheme made by the Secretary of State in pursuance of section forty-seven of the principal Act to pay compensation otherwise than by way of subscriptions to the general compensation fund established under any provisions contained in the scheme by virtue of subsection (3) of that section;

"mine" includes every shaft in the course of being sunk, and every level and inclined plane in the course of being driven, and all the shafts, levels, planes, works, tramways and sidings, both below ground and above ground, in and adjacent to and belonging to the mine, but does not include any part of such premises on which any manufacturing process is carried on other than a process ancillary to the getting or dressing of minerals or the preparation of minerals for sale;

"mutual indemnity association" means an association of employers which has satisfied the Board of Trade that it is carrying on, or is about to carry on, business wholly or mainly for the purpose of the mutual insurance of its members against liability to pay compensation or damages to workmen employed by them, either alone or in conjunction with insurance against any other risk incident to their trade or industry;

"owner," in relation to any coal mine, means any person who is the immediate proprietor or lessee or occupier of the mine or any part thereof, and, in relation to a mine the business whereof is carried on by a liquidator or receiver, means the liquidator or receiver, but does not include any person who—

(*a*) merely receives a royalty, rent or fine from the mine; or

(*b*) in the case of a mine subject to any lease, grant or licence for the working thereof, is merely the proprietor of the mine; or

(*c*) is merely the owner of the soil and not interested in the minerals of the mine; or

(*d*) is merely a contractor for the working of a part of the mine or for the execution of any particular work thereat;

15 & 16 Geo. 5. c. 84.

"the principal Act" means the Workmen's Compensation Act, 1925, as amended by any subsequent Act;

and any other expression has the same meaning as in the principal Act and shall be construed in accordance with such directions for the construction of that expression as may be contained in that Act.

(2) For the purposes of this Act, a workman shall be deemed to be employed for the purposes of the undertaking carried on at a coal mine, if, and only if,—

(*a*) he is employed at the mine; or

(*b*) being a person normally employed at the mine, he is temporarily employed elsewhere by the owner of the mine; or

(*c*) he is employed elsewhere than at the mine by the owner either in repairing the mining plant or in any such other work as is commonly done at a coal mine.

Short title, citation, commencement and extent.

7.—(1) This Act may be cited as the Workmen's Compensation (Coal Mines) Act, 1934, and the Workmen's Compensation Acts, 1925 to 1931, and this Act may be cited together as the Workmen's Compensation Acts, 1925 to 1934.

(2) This Act shall come into operation on the first day of January, nineteen hundred and thirty-five.

(3) This Act shall not extend to Northern Ireland.

SCHEDULE.

REQUIREMENTS AS TO FORM, ADMINISTRATION, AND PROVISIONS OF COMPENSATION TRUSTS.

Sections 1 (1), 2 (1) and 5 (1).

1. Every compensation trust must conform with the requirements of the following provisions of this Schedule.

2. The trust shall be expressed in the form of a deed executed between the person who, at the time of the execution of the deed, is the owner of the coal mine to which the trust relates (hereafter in this Schedule referred to as " the settlor ") on the one hand, and two or more other persons on the other hand, of whom at least one is an independent person, that is to say, a person who is neither a servant nor an agent of the settlor and who has no financial interest in the business of the settlor.

The last-mentioned persons and any person duly appointed in place of any of them are hereafter in this Schedule referred to as " the trustees."

3. The trust shall provide for securing that if at any time the trustees for the time being do not include an independent person as hereinbefore defined, it shall be the duty of the settlor forthwith to appoint such an independent person to be one of the trustees.

4. The trust shall provide for the creation of a trust fund (hereafter in this Schedule referred to as " the fund ") and for the vesting of the fund in the trustees, and shall declare that the trustees shall hold the assets of the fund on the following trust, that is to say, that whenever, by reason of any award or judgment against, or agreement or admission entered into or made by or on behalf of, the settlor or any person representing his estate, any sum becomes payable by way of compensation (being compensation which the settlor or his estate is liable under the principal Act to pay in respect of the employment of a workman, in the relevant period, by the settlor or any other person for the purposes of the undertaking carried on at the coal mine to which the trust relates), the trustees will, on behalf of the settlor or the person representing his estate, as the case may be, pay the amount of that sum out of the fund to the person entitled under the principal Act to receive it.

For the purposes of this Schedule the relevant period shall be taken to be such period as may be specified in the trust, being a period beginning on or after the day on which the first contribution to the fund required by the following provisions of this Schedule has been duly paid to the trustees, so, however, that the relevant period shall be deemed to be terminated—

(1) on the expiration of the accounting year next after that in which a written notice in that behalf, signed by the settlor, has been posted at the place at which, and in the manner in which, notices relating to the trust are required by this Act to be exhibited; or

(2) on the expiration of one month from the death of the settlor; or

(3) on the settlor becoming bankrupt or making a composition or arrangement with his creditors; or

(4) where the settlor is a company—

(*a*) on the passing by the company of a resolution for voluntary winding up within the meaning of section two hundred and twenty-five of the Companies Act, 1929; or

(*b*) on the making of a winding-up order in respect of the company under the Companies Act, 1929; or

(*c*) on the due appointment of a receiver by or on behalf of the holders of any debentures of the company secured by a floating charge, or the due taking possession, by or on behalf of those debenture holders, of any property comprised in, or subject to, the charge;

whichever first occurs.

5. The trust shall make provision for securing—

(1) that, as soon as may be after the trust comes into force, the trustees shall cause to be given to them by a qualified actuary a certificate certifying the capital sum (including such amount as the actuary considers to be a proper reserve) necessary, in his opinion, to secure the payment of all sums which he calculates will, by virtue of the trust, fall to be paid out of the fund in discharge of the compensation liability attributable to the first accounting year (which capital sum is hereafter in this Schedule referred to as the "certified initial liability"); and

(2) that, as soon as may be after the accounts of the fund for any accounting year have been submitted to audit, the trustees shall cause to be given to them by a qualified actuary a certificate certifying—

(*a*) the capital sum (including such amount as the actuary considers to be a proper reserve) necessary, in his opinion, to secure the payment of all sums which he calculates will, by virtue of the trust, fall to be paid out of the fund in discharge of—

(i) any compensation liability which is outstanding at the end of that accounting year and which is attributable to the period between the beginning of the relevant period and the end of that accounting year; and

(ii) the compensation liability attributable to the next succeeding accounting year; and

(*b*) the difference (if any) between the said capital sum and the sum stated by the auditor, in accordance with the trust, to represent the value, as at the end of the accounting year to which the accounts relate, of the assets of the fund available for making payments by way of compensation in accordance with the trust (the amount, if any, by which it appears from the certificate that the sum so stated as aforesaid by the auditor falls short of the said capital sum, being hereafter in this Schedule referred to as " the certified deficiency ");

and the trust shall require the trustees to submit the certificate as soon as may be to the auditor for examination and, as soon as may be thereafter, to transmit it to the settlor or the person (if any) representing his estate :

Provided that, after the end of the relevant period, the actuary's certificate shall be given only in relation to any outstanding compensation liability which is attributable to the relevant period.

6. The trust shall contain a provision whereby the settlor covenants with the trustees that, forthwith after any certificate has been duly transmitted by the trustees in accordance with the provisions of the trust required by the last foregoing paragraph, he will pay to the trustees by way of contribution to the fund—

(*a*) in the case of the first certificate so transmitted, a sum being not less than the certified initial liability; or

(*b*) in the case of any subsequent certificate, a sum being not less than the certified deficiency, if any.

7. The trust shall also provide for the following matters, that is to say :—

(1) for requiring the trustees to effect, maintain and enforce such contracts of insurance as may be necessary to cover the risk of the trustees having to make out of the fund payments of compensation in excess of fifteen hundred pounds in respect of deaths of workmen resulting from

any one accident, and for securing that any sums paid to the trustees in settlement of a claim under any such contract of insurance shall form part of the fund; and

(2) for requiring the settlor to furnish to the trustees all such returns, estimates, accounts and other information as may be necessary for enabling them to perform their duties under the trust; and

(3) for requiring the settlor to defray, by means of contributions to the fund, the administrative expenses of the trustees (including sums paid or payable by them by way of premiums in connection with contracts of insurance effected by them in accordance with the trust) and any remuneration which by the terms of the trust is payable out of the fund to any of the trustees; and

(4) for securing that all such obligations to make payments to the fund as are imposed by the trust on the settlor in accordance with the foregoing provisions of this Schedule shall, where the settlor is an individual, be binding on his estate; and

(5) for requiring the trustees—

(*a*) to keep proper accounts in relation to the fund; and

(*b*) to cause the accounts of the fund for each accounting year to be audited as soon as may be after the end of that year by a qualified accountant; and

(*c*) to obtain as soon as may be from the auditor by whom the accounts of the fund for any accounting year are audited, a statement of the value, as at the end of that accounting year, of the assets of the fund available for making payments by way of compensation in accordance with the trust; and

(6) for securing that the trustees are not empowered to invest any moneys of the fund in any securities other than securities in which a trustee may lawfully invest trust moneys by virtue of the powers conferred by section one of the Trustee Act, 1925, as extended by any subsequent enactment.

15 & 16 Geo. 5. c. 19.

In the application of this paragraph to a compensation trust which is governed by the law of Scotland, there shall be substituted for the reference therein to section one of the Trustee Act, 1925, a reference to the Trusts (Scotland) Act, 1921.

11 & 12 Geo. 5. c. 58.

8. For the purposes of this Schedule—

(1) the expression "accounting year" means a period of twelve consecutive months beginning on the first day of the relevant period or on the anniversary of that day;

(2) the expression "compensation liability" means liability under the principal Act incurred by the settlor or any person representing his estate in respect of the employment of workmen by the settlor or any other person for the purposes of the undertaking carried on at the coal mine to which the trust relates, and the liability under the principal Act which is so incurred in respect of the employment of workmen as aforesaid in any particular period shall be taken to be the compensation liability attributable to that period;

(3) the expression "qualified accountant" means a person being a member of one or more of the following bodies, that is to say :—

The Institute of Chartered Accountants in England and Wales;

The Society of Incorporated Accountants and Auditors;

The Society of Accountants in Edinburgh;

The Institute of Accountants and Actuaries in Glasgow;

The Society of Accountants in Aberdeen;

The London Association of Certified Accountants Limited;

The Corporation of Accountants, Limited;

(4) the expression "qualified actuary" means a person being either a fellow of the Institute of Actuaries or a fellow of the Faculty of Actuaries in Scotland.

CHAPTER 24.

An Act to empower His Majesty to revoke the National Economy (Statutory Salaries) Order, 1931, and to provide that while the said Order remains in force the abatement to be made thereunder from any salary shall be reduced by one-half, and for purposes connected with the matters aforesaid. [22nd June 1934.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present